

Exercise A2 | ECON 0100 | Fall 2026

Professor McGonagall also bakes rock cakes and fruitcakes, up to 10R or 5F in one day.

Q1 | Comparative and Absolute Advantage

Using Hagrid's original numbers, set up a production table with both Hagrid's and McGonagall's output per day. Who has the absolute advantage (AA) in rock cakes? Then set up an opportunity cost table with Hagrid's and McGonagall's opportunity costs for each good. Who has the comparative advantage (CA) in rock cakes?

AA in R: _____

CA in R: _____

Q2 | Specialization

In Exercise A1, we found that Hagrid can bake 20 rock cakes (R) or 30 fruitcakes (F) in one day and Professor McGonagall can bake 10 rock cakes or 5 fruitcakes in one day. Use the production table and opportunity cost table developed in Q1 to determine who should specialize in each good if they want to jointly produce more.

Specialize in R: _____

Specialize in F: _____

Q3 | Self-Trade

What is the cost to McGonagall of baking 1 fruitcake (F) herself? What is an example of a trade with Hagrid that would be better for her?

Cost of 1F: _____

A better trade: _____

Q4 | Which concepts (if any) from this block would you want explained in more detail in lecture or recitation?